12 Nov 2026 11:48:57 ET | 14 pages

Micro-Star (2377.TW)

3Q26 Beat on Margins from ASP Pass-Through and Richer Mix

CITI'S TAKE

MSI reported 3Q26 net profit of NT$4.0bn (+34% QoQ/+138% YoY), beating Citi/cons by 27%/45% on stronger-than-expected margins and non-op gains. GPM of 17.0% (+1.1ppts QoQ/+5.8 ppts YoY) topped Citi/cons at 15.8%/14.5%, as ASP hikes passed through rising component costs while moving-avg inventory costs lagged, alongside a richer high-end product mix. For 4Q26E, we expect further ASP increases and a rising server contribution to largely offset seasonal shipment declines. Into 2027, we expect PC demand to stay weak and pass-through room to narrow as memory price increases moderately. We raise 2026E-28E earnings and our TP to NT$145 (10x 2027E EPS). We stay Neutral as the share price already reflects the pass-through upside.

3Q26: Margin-led beat on cost pass-through and better mix — MSI reported 3Q26 net profit of NT$4.0bn (+34% QoQ/+138% YoY), beating Citi/cons forecasts by 27%/45%, mainly on stronger-than-expected margins and non-op gains. GPM of 17.0% (+1.1ppts QoQ/+5.8ppts YoY) came in above Citi/cons at 15.8%/14.5%. Mgmt. attributed the upside to 1) ASP increase, as MSI raised prices in line with suppliers' cost increases while its moving-average inventory costs rose less; and 2) a higher mix of high-end products. Non-op gains, including FX gains of over NT$100mn, further boosted the bottom line.

Price hikes to continue; 2027 PC market to keep shrinking — We reiterate our view that 4Q26 shipments will decline seasonally from the 3Q26 peak. However, mgmt. expects rising raw material costs and continued pass-through to keep lifting ASPs, offsetting lower volumes and making the seasonal decline milder than in prior years. The server business should also contribute more, potentially reaching a high-single-digit revenue share. Into 2027, we expect weak PC demand amid elevated costs, with MSI's MB and PC shipments declining by over 10%. Pass-through room should narrow as memory price increases moderately, though margins should stay elevated for a while, as mgmt. expects memory supply to stay tight in the coming quarters.

Implications — We raise our 2026E-28E earnings forecasts by 6-27%, reflecting sustained strong component cost pass-through and higher margin assumptions. We adjust TP to NT$145 (from NT$140), implying 10x 2027E EPS (from 12x). We believe the share price already reflects MSI's opportunity to pass component costs through to end products, and we expect limited upside going forward, given that the PC demand recovery remains highly uncertain. Maintain Neutral.

Earnings Summary

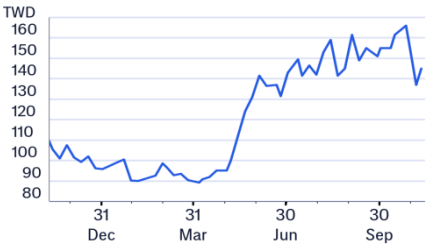
Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	6,793	8.04	-9.8	17.5	2.3	13.2	3.5
2025A	5,748	6.80	-15.4	20.7	2.2	10.7	3.0
2026E	13,933	16.50	142.6	8.5	1.9	23.8	7.2
2027E	11,927	14.14	-14.3	10.0	1.8	18.7	6.1
2028E	11,811	14.00	-1.0	10.1	1.7	17.4	na

Source: Powered by dataCentral

Neutral

Price (12 Nov 26 13:30)	NT$141.00
Target price	NT$145.00↑
from NT$140.00	
Expected share price return	2.8%
Expected dividend yield	7.2%
Expected total return	10.1%
Market Cap	NT$119,125M
	US$3,622M

Price Performance
(RIC: 2377.TW, BB: 2377 TT)



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2377.TW: Fiscal year end 31-Dec						Price: NT$141.00; TP: NT$145.00; Market Cap: NT$119,125m; Recomm: Neutral					
Profit & Loss (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Valuation ratios**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Sales revenue	197,872	230,196	220,328	230,850	247,256	PE (x)	17.5	20.7	8.5	10.0	10.1
Cost of sales	-173,677	-204,984	-184,805	-195,666	-210,809	PB (x)	2.3	2.2	1.9	1.8	1.7
Gross profit	24,195	25,213	35,522	35,184	36,448	EV/EBITDA (x)	11.0	12.3	5.2	5.3	5.2
Gross Margin (%)	12.2	11.0	16.1	15.2	14.7	FCF yield (%)	2.3	0.4	13.2	9.5	6.8
EBITDA (Adj)	**8,461**	**7,780**	**17,502**	**15,984**	**15,737**	Dividend yield (%)	3.5	3.0	7.2	6.1	na
EBITDA Margin (Adj) (%)	4.3	3.4	7.9	6.9	6.4	Payout ratio (%)	62	62	62	61	0
Depreciation	-1,344	-1,392	-1,329	-1,295	-1,295	ROE (%)	13.2	10.7	23.8	18.7	17.4
Amortisation	0	0	0	0	0	**Cashflow (NT$m)**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
EBIT (Adj)	**7,117**	**6,388**	**16,172**	**14,689**	**14,442**	EBITDA	8,461	7,780	17,502	15,934	15,737
EBIT Margin (Adj) (%)	3.6	2.8	7.3	6.3	5.8	Working capital	-2,979	-3,343	5,660	-678	-3,783
Net interest	424	390	321	209	243	Other	-481	-465	-5,572	-2,712	-2,631
Associates	0	0	0	0	0	**Operating cashflow**	**5,001**	**3,971**	**17,590**	**12,544**	**9,323**
Non-Op/Except/Other Adj	967	246	605	115	124	Capex	-2,233	-3,448	-1,857	-1,200	-1,200
Pre-tax profit	**8,508**	**7,024**	**17,098**	**14,963**	**14,809**	Net acq/disposals	-949	1,037	-109	0	0
Tax	-1,715	-1,276	-3,166	-3,036	-2,998	Other	0	0	0	0	0
Extraord./Min.Int./Pref.div.	0	0	0	0	0	**Investing cashflow**	**-3,182**	**-2,411**	**-1,965**	**-1,200**	**-1,200**
Reported net profit	**6,793**	**5,748**	**13,933**	**11,927**	**11,811**	Dividends paid	-4,562	-4,224	-3,548	-8,607	-7,373
Net Margin (%)	3.4	2.5	6.3	5.2	4.8	**Financing cashflow**	**-4,859**	**6,270**	**-7,584**	**-8,607**	**-7,373**
Core NPAT	6,793	5,748	13,933	11,927	11,811	**Net change in cash**	**-2,729**	**8,043**	**8,040**	**2,737**	**750**
Per share data	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Free cashflow to s/holders**	**2,768**	**523**	**15,733**	**11,344**	**8,123**
Reported EPS ($)	8.04	6.80	16.50	14.14	14.00						
Core EPS ($)	8.04	6.80	16.50	14.14	14.00						
DPS ($)	5.00	4.20	10.19	8.64	0						
CFPS ($)	5.92	4.70	20.83	14.87	11.05						
FCFPS ($)	3.28	0.62	18.63	13.44	9.63						
BVPS ($)	62.58	64.63	73.72	77.65	82.91						
Wtd avg ord shares (m)	845	845	844	844	844						
Wtd avg diluted shares (m)	845	845	844	844	844						
Growth rates	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Sales revenue (%)	8.1	16.3	-4.3	4.8	7.1						
EBIT (Adj) (%)	-19.2	-10.2	153.2	-9.5	-1.3						
Core NPAT (%)	-9.8	-15.4	142.4	-14.4	-1.0						
Core EPS (%)	-9.8	-15.4	142.6	-14.3	-1.0						
Balance Sheet (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Cash & cash equiv.	24,389	31,086	39,126	41,864	42,614						
Accounts receivables	23,360	26,757	30,086	29,540	34,264						
Inventory	36,858	47,765	50,073	51,418	60,843						
Net fixed & other tangibles	8,692	11,643	12,202	12,107	12,012						
Goodwill & intangibles	0	0	0	0	0						
Financial & other assets	3,321	3,704	3,786	3,747	4,211						
Total assets	**96,620**	**120,955**	**135,274**	**138,677**	**153,943**						
Accounts payable	28,710	36,420	39,860	40,278	47,122						
Short-term debt	0	4,525	25	25	25						
Long-term debt	0	6,292	6,294	6,294	6,294						
Provisions & other liab	15,036	19,116	26,808	26,472	30,457						
Total liabilities	**43,746**	**66,352**	**72,987**	**73,070**	**83,898**						
Shareholders' equity	52,874	54,602	62,287	65,607	70,045						
Minority interests	0	0	0	0	0						
Total equity	**52,874**	**54,602**	**62,287**	**65,607**	**70,045**						
Net debt (Adj)	**-24,389**	**-20,269**	**-32,807**	**-35,544**	**-36,295**						
Net debt to equity (Adj) (%)	-46.1	-37.1	-52.7	-54.2	-51.8						

For definitions of the items in this table, please click here.

Figure 1. MSI - 3Q26 earnings review

	3Q26			2Q26	QoQ	3Q25	YoY	3Q26	
(NT$ mn)	Actual	Citi est.	Diff (%)	Actual	(%)	Actual	(%)	BBG	Diff (%)
Revenue	56,946	56,946	0%	49,913	14%	57,731	-1%	55,716	2%
Gross profits	9,703	9,015	8%	7,969	22%	6,499	49%	8,055	20%
Operating profits	4,697	3,947	19%	3,281	43%	1,797	161%	3,358	40%
Pretax earnings	4,977	3,984	25%	3,633	37%	1,971	152%	3,465	44%
Net income	4,033	3,187	27%	2,999	34%	1,696	138%	2,788	45%
EPS (NT$)	4.78	3.77	27%	3.55	35%	2.01	138%	3.30	45%
Magins (%)									
Gross margin	17.0%	15.8%	1.2%	16.0%	1.1%	11.3%	5.8%	14.5%	2.6%
Operaing margin	8.2%	6.9%	1.3%	6.6%	1.7%	3.1%	5.1%	6.0%	2.2%
Net margin	7.1%	5.6%	1.5%	6.0%	1.1%	2.9%	4.1%	5.0%	2.1%

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Source: Company Reports, Citi Research Estimates, Bloomberg

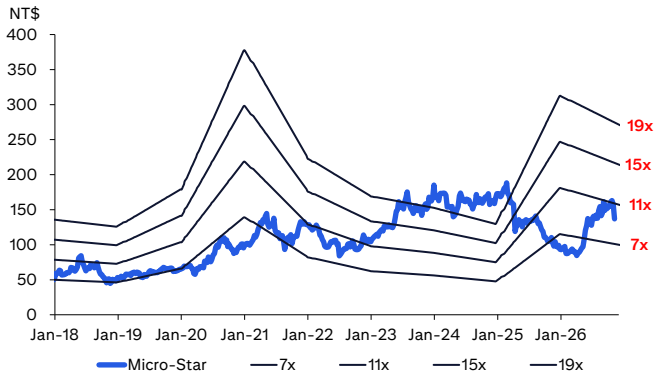
Figure 2. MSI - Earnings estimate revisions

	FY26E			FY27E			FY28E		
NT$mn	New	Old	Chg	New	Old	Chg	New	Old	Chg
Net Sales	220,328	224,913	-2.0%	230,850	226,776	1.8%	247,256	227,298	8.8%
Gross profit	35,522	35,327	0.6%	35,184	32,415	8.5%	36,448	31,451	15.9%
OPEX	19,350	19,820	-2.4%	20,546	20,183	1.8%	22,006	20,229	8.8%
Operating profit	16,172	15,507	4.3%	14,639	12,232	19.7%	14,442	11,222	28.7%
Pre-tax profit	17,098	16,247	5.2%	14,963	12,618	18.6%	14,809	11,651	27.1%
Net profit	13,933	13,201	5.5%	11,927	10,059	18.6%	11,811	9,292	27.1%
EPS	16.50	15.62	5.6%	14.14	11.91	18.7%	14.00	11.00	27.3%
Ratio	**New**	**Old**	**diff**	**New**	**Old**	**diff**	**New**	**Old**	**diff**
Gross margin (%)	16.12	15.71	0.42	15.24	14.29	0.95	14.74	13.84	0.90
OPEX to Sales ratio(%)	8.78	8.81	(0.03)	8.90	8.90	-	8.90	8.90	-
Operating margin (%)	7.34	6.89	0.45	6.34	5.39	0.95	5.84	4.94	0.90
Net margin (%)	6.32	5.87	0.45	5.17	4.44	0.73	4.78	4.09	0.69

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Source: Citi Research Estimates

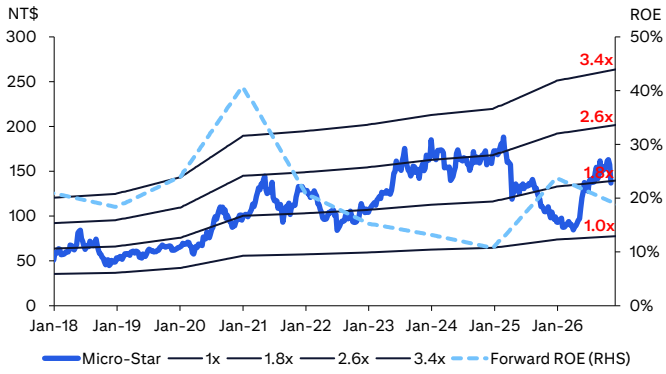
Figure 3. MSI - Forward P/E band



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Source: Company Reports, Citi Research Estimates, TEJ

Figure 4. MSI - Forward P/B band



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Source: Company Reports, Citi Research Estimates, TEJ

Figure 5. MSI - Quarterly earnings forecasts

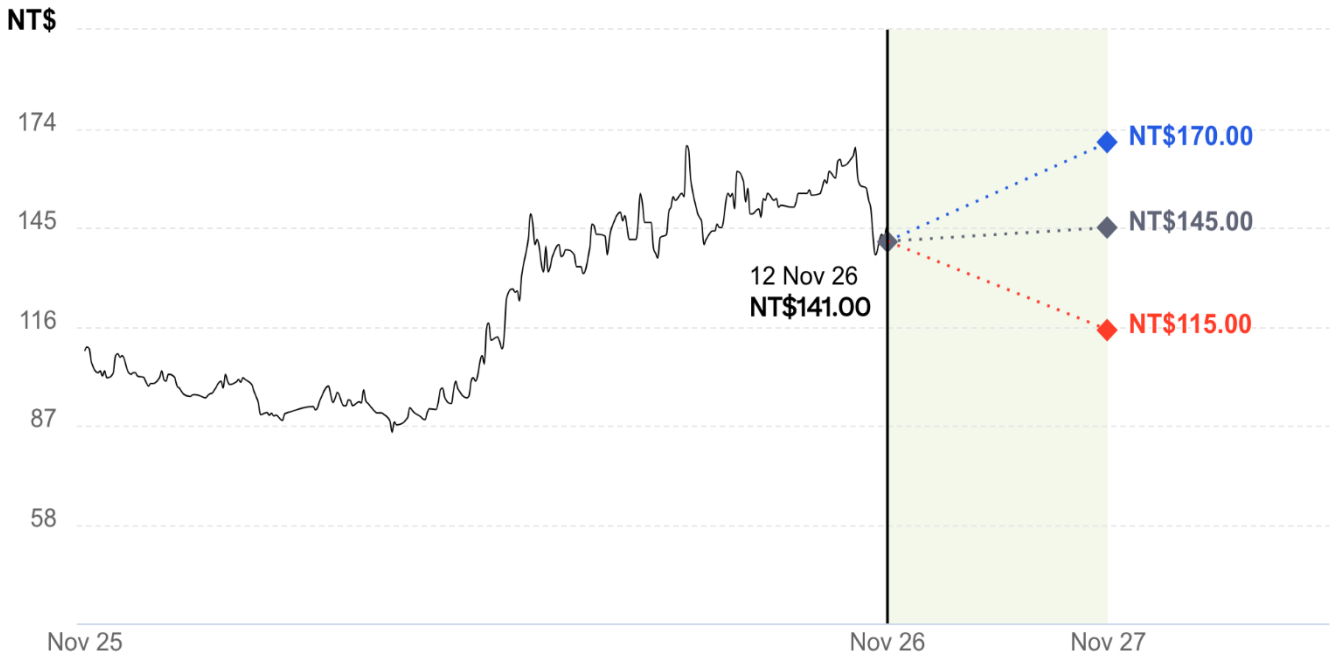
NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Net sales	56,257	49,913	56,946	57,212	54,457	58,084	61,841	56,468	230,196	220,328	230,850	247,256
Gross profit	**8,441**	**7,969**	**9,703**	**9,410**	**8,423**	**9,092**	**9,289**	**8,379**	**25,213**	**35,522**	**35,184**	**36,448**
OPEX	4,564	4,688	5,006	5,092	4,847	5,169	5,504	5,026	18,824	19,350	20,546	22,006
Operating profit	**3,876**	**3,281**	**4,697**	**4,318**	**3,577**	**3,923**	**3,785**	**3,354**	**6,388**	**16,172**	**14,639**	**14,442**
Total Non-OP	257	352	280	37	73	83	88	81	636	926	325	368
Pre-tax profit	4,133	3,633	4,977	4,355	3,650	4,006	3,873	3,435	7,024	17,098	14,963	14,809
Income tax	717	634	944	871	693	881	775	687	1,276	3,166	3,036	2,998
Net profit	**3,417**	**2,999**	**4,033**	**3,484**	**2,956**	**3,124**	**3,099**	**2,748**	**5,748**	**13,933**	**11,927**	**11,811**
EPS (NT$)	**4.04**	**3.55**	**4.78**	**4.13**	**3.50**	**3.70**	**3.67**	**3.26**	**6.80**	**16.50**	**14.14**	**14.00**
Product mix (%)												
MB	15%	13%	14%	13%	14%	13%	11%	12%	16%	14%	12%	12%
VGA	38%	41%	39%	36%	35%	38%	43%	40%	33%	38%	39%	38%
NB	35%	32%	32%	35%	35%	33%	30%	31%	37%	34%	32%	31%
DT & Accessories	5%	5%	5%	5%	5%	5%	4%	4%	6%	5%	5%	5%
EPS/IPS/ACS	5%	6%	6%	5%	6%	5%	6%	6%	6%	6%	6%	5%
Margins (%)												
Gross profit	**15.0**	**16.0**	**17.0**	**16.4**	**15.5**	**15.7**	**15.0**	**14.8**	**11.0**	**16.1**	**15.2**	**14.7**
OPEX to Sales Ratio	8.1	9.4	8.8	8.9	8.9	8.9	8.9	8.9	8.2	8.8	8.9	8.9
Operating profit	**6.9**	**6.6**	**8.2**	**7.5**	**6.6**	**6.8**	**6.1**	**5.9**	**2.8**	**7.3**	**6.3**	**5.8**
Pre-tax profit	7.3	7.3	8.7	7.6	6.7	6.9	6.3	6.1	3.1	7.8	6.5	6.0
Net profit	**6.1**	**6.0**	**7.1**	**6.1**	**5.4**	**5.4**	**5.0**	**4.9**	**2.5**	**6.3**	**5.2**	**4.8**
Y/Y(%)												
Net sales	5.1	(18.6)	(1.4)	(0.7)	(3.2)	16.4	8.6	(1.3)	16.3	(4.3)	4.8	7.1
Gross profit	53.6	16.9	49.3	47.0	(0.2)	14.1	(4.3)	(11.0)	4.2	40.9	(1.0)	3.6
OPEX	1.8	(1.3)	6.5	4.2	6.2	10.3	9.9	(1.3)	10.2	2.8	6.2	7.1
Operating profit	283.1	59.0	161.3	184.9	(7.7)	19.6	(19.4)	(22.3)	(10.2)	153.2	(9.5)	(1.3)
Pre-tax profit	222.7	90.2	152.5	133.9	(11.7)	10.3	(22.2)	(21.1)	(17.4)	143.4	(12.5)	(1.0)
Net profit	217.2	123.3	137.8	113.5	(13.5)	4.2	(23.2)	(21.1)	(15.4)	142.4	(14.4)	(1.0)
Q/Q(%)												
Net sales	(2.3)	(11.3)	14.1	0.5	(4.8)	6.7	6.5	(8.7)				
Gross profit	31.8	(5.6)	21.8	(3.0)	(10.5)	7.9	2.2	(9.8)				
Operating profit	155.8	(15.4)	43.2	(8.1)	(17.2)	9.7	(3.5)	(11.4)				
Pre-tax profit	122.0	(12.1)	37.0	(12.5)	(16.2)	9.8	(3.3)	(11.3)				
Net profit	109.4	(12.2)	34.5	(13.6)	(15.1)	5.7	(0.8)	(11.3)				

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Source: Company Reports, Citi Research Estimates

Bull/Bear: Micro-Star (2377.TW)

NT$170.00 ▲21% Upside | NT$145.00 ▲2.8% Upside | NT$115.00 ▼18% Downside



Spread 39pp
Current Price and expected returns (upside/downside) as of 12 Nov 2026

BULL Assumptions

- OPM at 7.5% in 2026E-27E
- Target multiple at 12x

BASE Assumptions

- OPM at 7.3%/6.3%% in 2026E/27E
- Target multiple at 10x

BEAR Assumptions

- OPM at 4% in 2026E-27E
- Target multiple at 8x

Micro-Star

Company description

Established in 1986 and listed in 1998, Taiwan-based MSI is a leading OBM/ODM for gaming PCs, motherboards, graphic cards, industrial PCs, and servers. MSI started business as a motherboard manufacturer but transformed itself to become a leading gaming PC play in 2012 with a comprehensive product portfolio across the gaming system and components. MSI enjoys about 16% global share in the gaming NB industry, and is ranked No.3 in graphic card shipments and No.3 in motherboard shipments globally.

Investment strategy

We rate MSI shares at Neutral as we anticipate earnings upward pressure from the delince in PC and MB/VGA shipments in the near-term. While the soaring component costs could be partially offset by price hike, we expect muted demand and AI resource crowding to wiegh on margins upside. Further upside maintains limited, though, until we see a meaningful recovery in core gaming demand or a more substantial contribution from the server business.

Valuation

Our target price of NT$145 is based on 10x 2027E EPS, below the stock's five-year average forward 12-month PE. This valuation reflects the earnings downside risks from muted PC demand and margin pressure from soaring component costs, while accounting for the time required for the server business to achieve meaningful scale.

Risks

Key upside risks that could cause MSI's shares to trade above our target price include: 1) a sharper-than-expected recovery in high-end gaming demand; and 2) faster-than-anticipated revenue contribution from the AI server segment. Key downside risks include: 1) a deeper-than-expected contraction in global PC shipments; 2) prolonged supply shortages for gaming GPUs due to Ai resource crowding; and 3) inability to pass through surging memory and CPU costs to price-sensitive consumers.

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Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or

rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Micro-Star (2377.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Michael Hung



	Date	Rating	Target Price	Closing Price
1	01-Mar-24 02:33:21	1	*215.00	191.00
2	27-Aug-24 09:09:36	1	*235.00	180.00
3	12-Mar-25 08:51:46	1	*210.00	179.00
4	12-May-25 08:46:00	1	*180.00	145.50
5	13-Mar-26 10:21:15	*2	*100.00	92.80
6	22-May-26 03:30:59	2	*118.00	124.00
7	08-Nov-26 18:43:50	2	*140.00	137.00

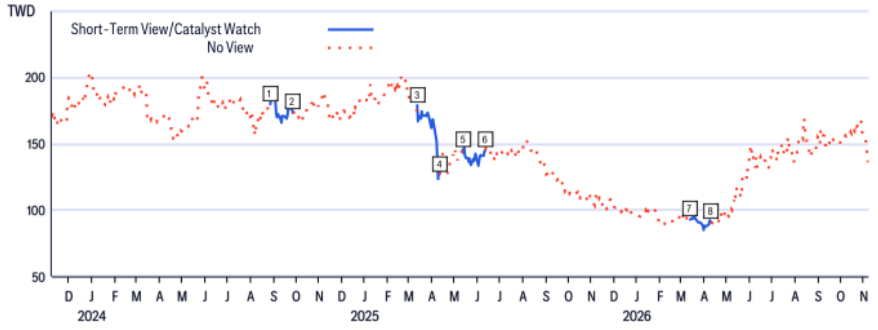
*Indicates Change

Rating/target price changes above reflect Eastern Time

Micro-Star (2377.TW)

Short-Term View/Catalyst Watch Research

Analyst: Michael Hung



	Date	Action	Expected Direction	Duration	Closing Price
1	27-Aug-24 05:09:36	Add STV	Upside	30 Days	180.00
2	26-Sep-24 21:56:15	Remove STV	Upside	30 Days	173.50
3	12-Mar-25 04:51:46	Add STV	Downside	30 Days	179.00
4	11-Apr-25 14:08:08	Remove STV	Downside	30 Days	127.00
5	12-May-25 04:46:00	Add STV	Downside	30 Days	145.50
6	11-Jun-25 21:35:28	Remove STV	Downside	30 Days	145.00
7	13-Mar-26 06:21:15	Add STV	Downside	30 Days	92.80
8	12-Apr-26 21:49:12	Remove STV	Downside	30 Days	90.80

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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